

NATIONAL OILWELL VARCO**Strategic Plan Recap****Executive Summary**

This strategic plan outlines a 3-year roadmap for National Oilwell Varco (NOV) to successfully navigate the dynamic global energy sector. By capitalizing on our foundational strengths in technology and worldwide service capabilities, we will seize emerging opportunities in the energy transition, digitalization, and the high-margin aftermarket services segment. Our vision is to become the energy industry's essential partner, dedicated to advancing operational efficiency and sustainability. Core strategic initiatives include accelerating the development of cutting-edge technology, optimizing our global supply chain for resilience, and expanding our portfolio of digital solutions. This plan is designed to mitigate risks related to market volatility and supply chain instability, thereby securing NOV's path to sustained and profitable growth.

Executive Summary	1
Celebrate	3
SWOT Scan	4
PESTLE Trend Analysis	5
3 Year Vision	6
3 Year Mission	7
Values	8
Risks	9
Priorities & Goal Setting	10
Implementation Plan	11
Communication of the Strategic Plan	17
Appendix	20
Takeaways & Reflections	20
Parking Lot	20

Celebrate

- **Industry-Leading Technology:** Celebrating our long history of innovation in drilling, wellbore, and completion technologies.
- **Global Footprint:** Our comprehensive network of manufacturing, service, and support operations extends across all major energy-producing regions worldwide.
- **Diverse Customer Base:** Maintain robust, long-term relationships with a broad clientele, including national, international oil companies, and independent operators.
- **Proven Engineering Expertise:** Our organization is powered by a deeply skilled workforce with a demonstrated capacity for resolving our customers' most complex technical challenges.

SWOT Scan

Strengths	Weaknesses
• Global market leadership in rig equipment and aftermarket • Strong proprietary technology and patent portfolio • Extensive, global manufacturing and service footprint	• High dependency on the capital expenditure cycles of the oil and gas industry • Complex global supply chain susceptible to disruptions • Market perception as a traditional "oilfield" company, potentially hindering diversification

Opportunities	Threats
• Rising demand for automation and digital oilfield technologies • Expansion into renewable energy segments example offshore wind • High-margin aftermarket parts and services	• Crude oil price volatility affecting customer investment decisions • Accelerated global transition toward decarbonization and renewable energy sources • Intense competition from both established and new tech players

PESTLE Trend Analysis

What is happening in the world around us that is going to shape the future environment of our organization?

Political	● Policies promoting energy security and domestic production	● Increasing carbon taxes and emissions regulations globally
Economic	● Fluctuating oil prices impacting global E&P budgets	● Risk of a global economic slowdown reducing overall energy demand
Social	● Growing public and investor demand for sustainable corporate practices	● Talent gap and competition for skilled engineers
Technological	● Rapid advancement in AI, IoT, and data analytics for predictive maintenance	● Growth of renewable energy technologies (wind, hydrogen, geothermal)
Legal	● Stringent health, safety, and environmental (HSE) regulations	● Complex international trade laws and sanctions
Environmental	● Global push for decarbonization and net-zero targets	● Increased focus on circular economy and reducing waste

3 Year Vision

Where do we want to go?

Aligned Team Vision **YEAR**

3 Year Vision

Our Vision: To be the world's most trusted partner for innovative equipment, technology, and services that empower the future of energy making it safer, more efficient, and more sustainable.

Vision Points

1. Achieve recognized leadership in digital and automated solutions for the energy industry.
2. Diversify revenue by becoming a key equipment and service provider for adjacent energy markets, including offshore wind.
3. Achieve industry-leading margins through a superior, data-driven aftermarket and service model.

3 Year Mission

What is our purpose?

Aligned Team Mission **YEAR**

Our purpose is to empower the global energy industry with indispensable equipment, technology, and services. We exist to ensure our customers can operate more safely, efficiently, and sustainably, today and in the future.

Who are we? (Adjectives used to describe ourselves)

1. Innovative
2. Global
3. Reliable
4. Efficient

What do we do? (Benefits versus Features)

What We Do (Feature)	The Customer Benefit
We provide mission-critical equipment and services.	Benefit: You achieve maximum reliability and operational uptime, minimizing costly non-productive time and ensuring your projects stay on schedule and budget.
We develop technology-driven solutions (like digital platforms, automation, and data analytics).	Benefit: You realize significant gains in efficiency, safety, and cost reduction through predictive insights, optimized processes, and reduced human error.
We are expanding our expertise into renewable energy segments.	Benefit: You gain a trusted, proven partner for the energy transition, providing innovative solutions that help you meet your sustainability and decarbonization goals.

Who do we do it for? (Our main customer)

1. Our solutions serve upstream and midstream oil and gas operators worldwide, and we are expanding to serve companies in the renewable energy sector.

Values

Important questions for value reshaping:

- What are the impacts if we reward non-ideal values?
- What are the impacts when people live our ideal values?
- What specific behaviors can be demonstrated to ensure your values move from implicit to explicit?
- What are the benefits of reshaping your values in your organization?
- How can we reshape the values throughout our organization?

Current Values & Behaviors Good, not-so-good, or neutral	Desired Values & Behaviors What do we want to replicate throughout our organizations to help us reach our vision?
• Good: Engineering Excellence, Customer Focus • Not-so-good: Siloed operations, risk-aversion in new markets • Neutral: Deep industry tradition	• Innovation: Actively pursue and reward R&D that addresses both traditional and new energy challenges. • Agility: Foster cross-functional teams to respond quickly to market changes and customer needs. • Sustainability: Embed environmental and social governance (ESG) principles into all business decisions.

Risks

Questions to consider while working through the risk register:

- What risks and uncertainties exist for your organization?
- What is the impact and likelihood of them happening, and what can you do about them?
- Risk can both be positive and negative
- Review those that multiply to 16 or higher
- ***Your strategic priorities will address and mitigate the critical risks based on their rating***

IMPACT

How severe will it be if it happens?

5	Catastrophic
4	High impact
3	Medium impact
2	Little impact
1	No impact

LIKELIHOOD

What are the chances of it occurring?

5	Happening now
4	Very likely
3	Moderately likely
2	Unlikely
1	Very unlikely

Risk	Impact	Likelihood
Prolonged downturn in oil prices	5	4
Failure to adapt to energy transition	5	3
Major global supply chain disruption	4	4
Cybersecurity breach disrupting operations	4	3

Priorities & Goal Setting

What are the areas of strategic focus for the next time period that can help mitigate some of the above risks and help you reach your 3-year vision? How are you going to measure success?

Formula 1: Go from BASELINE to TARGET by DATE

Example: Increase revenue from \$1mil to \$4mil by Dec 31, 20XX

Formula 2: Do X ITEM to extent of TARGET by DATE

Example: Contact 60 potential funders by Aug 30, 20XX

Strategic Priority #1	Strategic Priority #2	Strategic Priority #3
Priority: Technology & Digital Leadership	Priority: Operational Excellence & Supply Chain Resilience	Priority: Strategic Diversification
Champion: CTO	Champion: COO	Champion: VP Business Development
Objectives & Goals - Launch 2 new digital platforms for predictive maintenance by Q4 2025 - Increase R&D spending on low-carbon tech by 25% over 3 years.	Objectives & Goals - Reduce global logistics costs by 15% by end of 2026. - Implement a single, integrated ERP system across 90% of operations by 2027.	Objectives & Goals - Achieve 10% of revenue from renewable energy projects by end of 2026. - Establish 2 strategic partnerships with offshore wind developers by 2025.

Implementation Plan

What do you need to do first (urgent & important) to begin to move forward on your goals and priorities? You can continue to build on this action plan as you move forward with implementation.

SP1: Technology & Digital Leadership Champion: CTO		
Milestone/Deliverable	Responsibility	Target Completion Date
Goal 1: Develop NOV Digital Platform		
• Complete Beta testing with 3 key customers and integrate feedback.	Digital Solutions Group	Q1 2025
• Officially launch the platform's Asset Monitoring and Predictive Maintenance modules globally.	Product Launch Team	Q3 2025
• Onboard the first 50 customer assets onto the live platform.	Sales & Customer Success	Q4 2025
Goal 2: Achieve Market Leadership in Drilling Automation		
• Finalize development and begin field trials of the "Auto-Driller 2.0" system.	R&D - Drilling Automation	Q2 2025
• Secure patents for 3 key algorithms related to autonomous wellpath navigation.	Legal & Intellectual Property Team	Q4 2025
• Achieve a 15% market share in new automated drilling control system sales.	Sales & Marketing	Q4 2025
Goal 3: Develop a Suite of Low-Carbon Solutions		
• Complete the prototype for a high-efficiency electric frac pump.	R&D - New Energy	Q1 2025
• Launch a new service line for well plugging and abandonment (P&A) using digital twin technology to reduce cost and time by 20%	Service Division	Q3 2025
• Publish a white paper on NOV's capabilities in Carbon Capture, Utilization, and Storage (CCUS) well construction.	Engineering & Marketing	Q2 2025

Goal 4: Enhance Cybersecurity for Digital Products		
• Achieve ISO 27001 certification for the NOV Digital Platform and its data centers.	IT & Cybersecurity Team	Q2 2025
• Conduct penetration testing and vulnerability assessments on all new digital products before launch.	Cybersecurity & QA Teams	Q4 2025
• Implement a mandatory cybersecurity training module for all engineers working on connected systems.	HR & Department Heads	Q1 2025

SP2: Operational Excellence & Supply Chain Resilience Champion:COO		
Milestone/Deliverable	Responsibility	Target Completion Date
Goal 1:Optimize Global Logistics		
• Conduct a full audit of all major shipping routes and freight partners to identify cost-saving opportunities.	Global Logistics Director	Q1 2025
• Renegotiate contracts with top 3 freight carriers, targeting a 10% cost reduction.	Procurement & Supply Chain VP	Q3 2025
• Implement a regional hub model in the Middle East and Asia to reduce delivery times by 15%.	Logistics & Distribution Team	Q4 2025
Goal 2:Enhance Supply Chain Visibility		
• Implement a real-time supply chain tracking dashboard for all critical components.	IT & Supply Chain Teams	Q2 2025
• Establish a dual-sourcing strategy for 5 high-risk raw materials (e.g., specific steel alloys).	Strategic Sourcing Manager	Q4 2025
• Develop a supplier risk assessment scorecard and apply it to the top 100 suppliers.	Procurement & Risk Management	Q3 2025
Goal 3: Drive ERP System Integration		
• Complete the Phase 1 rollout of the new ERP system in the North American region.	CIO & Project Management Office	Q2 2025
• Achieve a 30% reduction in internal procurement cycle time within the implemented regions.	Process Improvement Team	Q4 2025
• Train 100% of the finance and procurement staff in the North American region on the new system.	HR & IT Training	Q3 2025
Goal 4: Implement Lean Manufacturing Principles		
• Conduct Lean Six Sigma training for production managers across 3 key manufacturing facilities.	VP of Manufacturing	Q2 2025

• Reduce internal product rework and scrap rates by 20% at the targeted facilities.	Plant Managers	Q4 2025
• Implement a 5S methodology program in all major workshops to improve safety and efficiency.	Operations & EHS Teams	Q3 2025

SP3: Strategic Diversification Champion: VP Business Development		
Milestone/Deliverable	Responsibility	Target Completion Date
Goal 1: Achieve Market Penetration in Offshore Wind		
• Finalize and launch NOV's first purpose-built subsea cable-laying system.	Renewable Energy Business Unit	Q3 2025
• Secure first paid pilot project with a major offshore wind developer for a foundation installation tool.	Sales & Business Development	Q4 2025
• Establish a dedicated sales and service team for the European offshore wind market.	HR & Regional VP Europe	Q2 2025
Goal 2: Develop Strategic Partnerships in New Energy		
• Form a joint venture with a technology startup specializing in green hydrogen production equipment.	VP Business Development & Legal	Q2 2025
• Sign a Memorandum of Understanding (MoU) with a major offshore construction company for collaborative project bids.	Strategic Alliances Director	Q1 2025
• Launch a joint R&D project with a university on next-generation geothermal well materials.	CTO & R&D Department	Q3 2025
Goal 3: Grow Revenue from Non-Oil & Gas Sectors		
• Achieve \$50 million in booked orders from renewable energy and other non-oil & gas sectors.	Sales & Segment Leaders	Q4 2025
• Launch a targeted marketing campaign highlighting NOV's capabilities in geothermal and carbon capture projects.	Marketing & Communications	Q2 2025
• Develop and publish 5 new case studies showcasing successful projects in renewables and CCUS.	Marketing & Engineering	Q4 2025
Goal 4: Establish NOV as a Technology Leader in New Energy		
• Participate as a keynote speaker in at least 3 major renewable energy conferences (e.g., WindEurope).	VP Business Development	Q3 2025

• Secure 2 new patents for technology applicable to the geothermal or hydrogen energy sectors.	Legal & Intellectual Property Team	Q4 2025
• Launch a new section on the corporate website dedicated to "New Energy Solutions."	Marketing & Digital Team	Q2 2025

Communication of the Strategic Plan

What are you going to do to communicate and share your strategic plan throughout your organization?

- Who needs to know what, by when and to what extent?
Executive Leadership & Board of Directors: Require a comprehensive understanding of the full plan, risks, and financial implications. Briefing in Q1 2025.
Senior & Middle Management: Need clarity on the 3-year vision, strategic priorities, and their department's objectives. Engagement via a Leadership Summit in Q2 2025.
All Employees: Should understand the overarching vision, mission, and strategic priorities. Rollout begins Q2 2025 with ongoing reinforcement.
Front-line Supervisors & Team Leads: Require detailed implementation plans for their areas to translate strategy into daily tasks. Departmental sessions in Q3 2025.

What communication structures do you need to put in place internally to be successful (ex: strategy meeting cadences, strategy review cycles)

Strategy Steering Committee: Comprised of the Executive Team and Priority Champions. Meets quarterly to review progress, remove roadblocks, and adjust course as needed.

Monthly Strategy Syncs: Shorter, focused meetings for Priority Champions and their cross-functional teams to track milestone completion.

Bi-Annual Leadership Forums: Gatherings for senior leaders to discuss strategic progress, share best practices, and ensure cross-departmental alignment.

Dedicated Intranet Hub: A single source of truth for the strategic plan, featuring videos from leadership, progress dashboards, and downloadable resources.

- Where can you incorporate strategy discussions into existing communications?
All-Hands Meetings: Dedicate a regular segment to a "Strategic Priority Spotlight," featuring a different champion or team.
Performance Reviews: Integrate strategic goals into personal performance objectives and development plans for all employees.
Internal Newsletters: Feature regular updates, success stories, and employee testimonials related to strategic initiatives.
New Employee Onboarding: Include a dedicated module on NOV's strategy to instill the vision and priorities from day one.
Team Huddles: Encourage managers to briefly connect daily or weekly team tasks back to the broader strategic goals.

Milestone/Deliverable	Responsibility	Target Completion Date
Finalize and gain executive approval for the strategic plan and communication rollout.	CEO & Executive Team	Q1 2025
Launch the "Driving Forward" intranet hub with the plan summary and a video from the CEO.	Corporate Communications & IT	Q2 2025
Conduct a global virtual all-hands meeting to unveil the 3-year vision and strategic priorities.	CEO & HR	Q3 2025
Host a leadership summit for senior managers to deep-dive into the plan and their accountability.	Executive Team & HR	Q2 2025
Integrate strategic priorities and KPIs into the performance management system for all departments.	Department Heads & HR	Q3 2025
Launch the first quarterly progress dashboard on the intranet hub.	Strategy Office & Communications	Q1 2026
Incorporate a "Strategy in Action" segment into the quarterly all-hands meeting.	CEO & Corporate Communications	Q2 2026 (and ongoing)
Conduct an annual employee pulse survey to measure understanding and engagement with the strategy.	HR & Strategy Office	Q4 2025 (and annually)

Appendix

Takeaways & Reflections

- The energy sector is at a critical inflection point. Our ability to balance our strong legacy in oil and gas with a proactive and credible strategy for the energy transition will determine our long-term success.
- Digitalization must evolve beyond a product line to become a core competency that fundamentally transforms our internal operations and our model for customer engagement.
- Consistent, transparent, and continuous communication of this strategy is paramount to aligning our global workforce and effectively managing the necessary cultural evolution.

Parking Lot (Ideas for Future Consideration)

- Explore potential for acquisitions in the electrification of drilling systems.
- Investigate feasibility of a dedicated business unit for hydrogen infrastructure.